

How the Funding Readiness Tiers Were Built

A guide to how 1,116 SME funding applications were scored out of 100 and sorted into High, Mid and Low readiness tiers.

Summary. Every SME that applied for funding was given a score out of 100. The score is the sum of four weighted components: revenue and revenue growth (up to 30 points), employment and planned job creation (up to 25 points), the size of the funding request relative to revenue together with the completeness of the application (up to 25 points), and the business's transformation profile (up to 20 points). Businesses scoring 62 or more are **High readiness** (273 SMEs) — ready to be introduced to investors now. Scores of 48 to 61 are **Mid readiness** (568 SMEs) — operating businesses with specific gaps to close. Scores below 48 are **Low readiness** (275 SMEs) — not yet fundable, in most cases because the request is far larger than revenue or the application is incomplete. A business is never marked down simply because a question on the form was left blank.

1. Why score the applications at all?

The programme received 1,116 unique funding applications requesting a combined R7.72 billion. A funding team cannot assess that many applications one by one, and an investor will not work through a spreadsheet of a thousand names. The scoring model converts the full applicant pool into an ordered, defensible shortlist: it reads the same facts from every application, applies the same weights to every business, and produces a single score out of 100. The same rules apply to every applicant regardless of size, sector or location, which is what makes the result fair and explainable.

The score is not a judgement of whether a business is good or bad. It measures one specific thing: **how ready this application is to be put in front of a funder today**. An early-stage business with no revenue records and an oversized request will score low — not because it lacks potential, but because a funder could not act on its application as submitted.

2. The score at a glance: four pillars, 100 points

Each application earns points across four pillars. Each pillar corresponds to one question a funder asks, and the four weights add up to exactly 100:

Pillar	Weight	The question it answers
1. Revenue & Growth	30 pts	Does the business earn revenue, and is that revenue growing?
2. Jobs & Scale	25 pts	Does it employ people, and will the funding create jobs?
3. Funding-Ask Viability	25 pts	Is the amount requested proportionate, and is the form complete?
4. Transformation (B-BBEE)	20 pts	What are the BEE level and the ownership profile?

Each pillar is first calculated on a 0-to-1 scale, then multiplied by its weight. A business that scores 1.0 on a pillar receives all of that pillar's points; a business that scores 0.5 receives half. The four results are added together. Because each pillar's points are recorded separately, it is always possible to state exactly why a business received its score — for example, that it earned full points on revenue but lost points because its request was ten times its turnover.

Sections 3 to 6 explain each pillar the same way: the exact calculation first, then an example taken directly from the scored dataset, so that every figure quoted in this document can be checked against the final spreadsheet.

3. Pillar 1 — Revenue & Growth (30 points)

This pillar measures two things: the size of the business's most recent annual revenue, and the direction of that revenue between 2023 and 2024. Applicants reported annual revenue in bands. During data preparation, each band was converted to a position on a 0-to-6 scale, where position 0 is *0 to R500K* and position 6 is *Above R50M*. The pillar combines two components.

Size — 60% of the pillar

$$\text{size} = \text{latest band position} \div 6$$

The 2024 band is used; if 2024 was not answered, the 2023 band is used instead. A business in band 3 scores $3 \div 6 = 0.5$. A business with no revenue band in either year is treated as pre-revenue and scores 0 on this component. It remains in the process — it is not excluded.

Growth — 40% of the pillar

$$\text{growth} = (\text{band movement} + 2) \div 4, \text{ movement capped between } -2 \text{ and } +2$$

Band movement is the number of positions the business moved between its 2023 band and its 2024 band. Moving up one band gives $(1 + 2) \div 4 = 0.75$. No movement gives 0.5. Moving down one band gives 0.25. Movement is capped at two bands in either direction so that a single unusual year cannot dominate the score. If movement cannot be calculated because a band is missing, the business receives the neutral 0.5.

The two components combine as **pillar = $0.60 \times \text{size} + 0.40 \times \text{growth}$** , multiplied by 30 points.

Example from the data — Vuka Transport CC (ranked 1st of 1,116)

Its 2023 band was *R20 000 001 to R50M* (position 5) and its 2024 band *Above R50M* (position 6). Size = $6 \div 6 = 1.0$. Growth: up one band, so $(1 + 2) \div 4 = 0.75$. Pillar = $0.60 \times 1.0 + 0.40 \times 0.75 = 0.90$, which earns $0.90 \times 30 = \mathbf{27.0 \text{ points}}$. This is the exact figure recorded in the *pts_revenue_growth* column of the final spreadsheet.

4. Pillar 2 — Jobs & Scale (25 points)

This pillar measures two things: the number of people the business currently employs, which is direct evidence that it operates, and the number of new jobs the applicant states the funding will create. The two components are **existing employees (55%)** and **anticipated new jobs (45%)**. Both counts are converted to a 0-to-1 score using the same formula:

$$\text{score} = \log(\text{count} + 1) \div \log(51)$$

A logarithm is used instead of a straight line for a specific reason: the difference between 1 and 5 employees is more significant, as evidence about a small business, than the difference between 50 and 54 employees, yet a straight-line scale would treat both differences as equal. The logarithmic curve increases quickly at low counts and flattens at high counts. It is calibrated so that a count of 50 — staff or planned jobs — produces the full score of 1.0. This keeps the comparison fair between micro-businesses and the small number of larger applicants.

The components combine as **pillar = $0.55 \times \text{employee score} + 0.45 \times \text{jobs score}$, capped at 1.0**, multiplied by 25 points. Counts above 50 produce a component score above 1.0, which is why the cap on the combined result exists.

On this pillar, a blank answer counts as zero rather than neutral. This is one of the two deliberate exceptions to the missing-answer rule in section 7: an unstated headcount on a funding application is reasonably read as no employees recorded, and job-creation figures should not be assumed on an applicant's behalf.

Example from the data — Blue Crane Enterprises CC

It recorded 3 employees and 3 anticipated jobs. Each count converts to $\log(4) \div \log(51) = 1.386 \div 3.932 = 0.35$. Pillar = $0.55 \times 0.35 + 0.45 \times 0.35 = 0.35$, which earns $0.35 \times 25 = \mathbf{8.8 \text{ points}}$. By comparison, Vuka Transport CC recorded 144 employees (component score 1.27, above the ceiling of 50) and 14 anticipated jobs ($\log(15) \div \log(51) = 0.69$). Its combined result of 1.01 is capped at 1.0, earning the full **25.0 points**.

5. Pillar 3 — Funding-Ask Viability (25 points)

This pillar measures whether a funder could act on the request as written. It has two components.

Proportionate request — 60% of the pillar

Each business is assigned a reference revenue: its actual 2025 revenue where one was captured; otherwise the Rand midpoint of its 2024 revenue band; otherwise the midpoint of its 2023 band. The funding request is then divided by that reference:

$$\text{ratio} = \text{funding ask} \div \text{reference revenue}$$

The ratio is scored by three rules:

- **Between 0.5× and 5× revenue** — the target range, scoring the full 1.0. A request of between half a year's and five years' revenue is the range within which funders can realistically structure a transaction.
- **Below 0.5×** — score = $\text{ratio} \div 0.5$, with a minimum of 0.4. Small requests remain fundable; they are simply modest relative to the business.
- **Above 5×** — score = $1 - (\text{ratio} - 5) \div 20$. The score decreases steadily and reaches zero at 25× revenue. A business requesting many multiples of its revenue is presenting a plan a funder cannot verify against its trading history.

If no revenue figure is available to calculate a ratio, the score is held at the neutral 0.5 rather than reduced.

Complete application — 40% of the pillar

Ten fields required for assessment are checked: registration number, industry, province, request amount, funding type, funding purpose, 2024 revenue band, employees, company overview and BEE level. The component score is the number of those fields completed, divided by ten. An application missing several of these fields cannot be properly assessed, so completeness is treated as a readiness measure in its own right.

The components combine as **pillar = 0.60 × request score + 0.40 × completeness**, multiplied by 25 points.

Examples from the data

Vuka Transport CC requested R40,940,000 against actual 2025 revenue of R34,115,739 — a ratio of 1.2×, inside the target range, scoring 1.0. All ten required fields were completed, so completeness is 1.0. The pillar earns the full **25.0 points**.

Blue Crane Enterprises CC requested R90,000 against 2025 revenue of R8,639 — a ratio of 10.4×. This is above 5×, so the request scores $1 - (10.4 - 5) \div 20 = 0.73$. Three of its ten required fields were blank (industry, funding type and company overview), so completeness is $7 \div 10 = 0.70$. Pillar = $0.60 \times 0.73 + 0.40 \times 0.70 = 0.72$, earning **17.9 points**.

6. Pillar 4 — Transformation / B-BBEE (20 points)

South African funders — in particular development finance institutions and corporate enterprise-development funds — are required by their mandates to consider transformation credentials, so these credentials are scored as a

separate pillar. It has two equally weighted components.

BEE level — 50% of the pillar

$$\text{BEE score} = (8 - \text{level}) \div 7$$

Under B-BBEE, Level 1 is the strongest rating and Level 8 the weakest. Level 1 gives $(8 - 1) \div 7 = 1.0$; Level 8 gives 0; a missing level is held at the neutral 0.5.

Inclusive ownership — 50% of the pillar

$$\text{ownership} = \text{average of the Black, women, youth and disability ownership percentages} \div 100$$

The application form captured each of the four ownership figures as a percentage range. During data preparation, each range was converted to its midpoint value; this component is the plain average of the four midpoints, divided by 100.

The components combine as **pillar = 0.50 × BEE score + 0.50 × ownership**, multiplied by 20 points.

Example from the data — Vuka Transport CC

It holds BEE Level 1, so its BEE score is 1.0. Its ownership answers were 100% Black, 100% youth, 0% women and 0% disability, which average to 50%, so its ownership score is 0.5. Pillar = $0.50 \times 1.0 + 0.50 \times 0.5 = 0.75$, earning **15.0 points**.

Why this pillar carries the lowest weight. The applicant pool is already highly transformed: 92% of applicants are majority Black-owned and 86% hold BEE Level 1. A criterion on which nearly every applicant scores highly cannot separate stronger applications from weaker ones. The pillar is retained because it is a genuine funder requirement; it is weighted lowest because, in this pool, it provides the least differentiation.

7. The rule for missing answers

Application forms are returned incomplete, and a scoring model must define what a blank answer means. The rule applied throughout this model is: **a missing answer is scored as neutral — the middle score of 0.5 — never as zero**. A business is not marked down because the form failed to capture an answer.

There are two deliberate exceptions, both stated in the sections above, where the absence of a figure genuinely carries information: a business with no revenue band recorded in either year is treated as pre-revenue (Pillar 1), and blank employee or job counts are scored as zero (Pillar 2).

8. From score to tier

The 0–100 score is converted into a tier using fixed thresholds. Fixed thresholds mean a tier keeps the same definition when new applications are scored later:

Tier	Score range	SMEs	Share	Definition
High readiness	62 or more	273	24.5%	Strongest candidates — ready to be introduced to funders now
Mid readiness	48 to 61	568	50.9%	Operating businesses that need development or further information
Low readiness	below 48	275	24.6%	Early-stage or incomplete applications — not yet fundable

Every business also receives a rank from 1 (most funding-ready) to 1,116, so the pipeline can be worked from the top down as well as tier by tier. The full scored list — each business with its four pillar point totals, final score, tier and rank — is stored in the spreadsheet *Funding_Readiness_Segmentation.xlsx*, which is also the data source for the programme's Power BI dashboard.

9. Two complete calculations, side by side

The table below shows the full calculation for the two businesses used as examples throughout this document. Vuka Transport CC finished first of all 1,116 applicants; Blue Crane Enterprises CC finished in the Low tier:

Pillar	Vuka Transport CC	Blue Crane Enterprises CC
1. Revenue & Growth (30)	$0.90 \times 30 = 27.0$	$0.20 \times 30 = 6.0$
2. Jobs & Scale (25)	$1.00 \times 25 = 25.0$	$0.35 \times 25 = 8.8$
3. Funding-Ask Viability (25)	$1.00 \times 25 = 25.0$	$0.72 \times 25 = 17.9$
4. Transformation (20)	$0.75 \times 20 = 15.0$	$0.75 \times 20 = 15.0$
Funding Readiness Score	92.0 — HIGH	47.8 — LOW

The breakdown states exactly why each business landed where it did. Vuka Transport CC combines top-band revenue, a workforce well above the 50-person ceiling, and a request of 1.2 times its turnover: an application a funder can act on immediately. Blue Crane Enterprises CC missed the Mid tier by 0.2 points. Its two weaknesses — a request of more than ten times its revenue, and three blank required fields — are both correctable, and correcting them and re-scoring would move it up.

A note for anyone auditing the spreadsheet: the final score is calculated from the unrounded pillar values and rounded once at the end, while the four pillar-point columns are each rounded for display. The sum of the displayed columns can therefore differ from the score by up to 0.1, as it does for Blue Crane Enterprises CC ($6.0 + 8.8 + 17.9 + 15.0 = 47.7$ against a true score of 47.8).

10. Common questions

Why these weights and not others?

The weights follow the order in which funders assess applications: evidence of a trading business first (30), employment and impact second (25), practicality of the transaction third (25), and mandate fit fourth (20). The four weights are defined in one place in the model and can be changed independently if the programme's priorities change.

Why fixed tier thresholds instead of taking the top 20%?

Fixed thresholds keep the label consistent. "High readiness" means the same thing next quarter even if a hundred new applications arrive. With percentage-based tiers, a business could drop a tier without anything about the business changing.

Can a business change tier?

Yes. Completing missing fields, revising the funding request to a proportionate amount, or a year of revenue growth each feed directly into the score. Re-running the model on updated data re-scores and re-ranks every business.

Does a low score mean a bad business?

No. It means the application, as submitted, is not yet one a funder can act on. The two most common causes in this pool are requests far above revenue and incomplete forms. Both are correctable by the applicant.

Where do the dashboard's pillar charts come from?

Directly from these calculations. Each business's four pillar point totals (out of 30, 25, 25 and 20) are stored alongside its score in the output spreadsheet, and those columns are what the dashboard's pillar and tier visuals display.

Method source: the scoring model is implemented in *Funding_Readiness_Segmentation.ipynb*, a Python notebook included in this project. It reads the cleaned application dataset *Capital_Matching_Cleaned_Data.xlsx* (1,116 records), produced from the raw application export by a second Python notebook, *Data_Cleaning.ipynb*. All examples, tier statistics and portfolio figures in this document are taken from, and verified against, the model's output spreadsheet *Funding_Readiness_Segmentation.xlsx*. Prepared July 2026.